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Key Performance Indicators

Human Resources

Employee Turnover2025

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Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually

Name	Employee Tenure
Definition	This KPI measures the average length of time that employees remain with the company, or "tenure." Employee tenure is an important metric for understanding the longevity and stability of the workforce. A higher average tenure suggests that employees are staying longer with the organization, indicating satisfaction, good retention strategies, and an overall healthy work environment. Shorter tenure might suggest issues with employee engagement, satisfaction, or workplace culture.

Calculation Formula	**Employee Tenure = Total Years of Service for All Employees / Total Number of Employees**
Where:	**Total Years of Service for All Employees**: The sum of all the years of service for every employee in the organization.
Trend is good when	✅ **Higher is better**: A higher average tenure indicates that employees are staying longer, suggesting strong employee engagement and satisfaction. ⚠️ **Stable**: A stable trend shows that employee tenure remains consistent, reflecting stable retention and job satisfaction levels. 🔺 **Lower is bad**: A lower average tenure could indicate issues such as high turnover, dissatisfaction, or lack of engagement, which could be costly for the organization in terms of recruitment and training.

Purpose	**Measure Employee Retention**: Helps HR understand the average time employees stay with the company, highlighting retention strategies and potential areas for improvement. **Identify Trends in Employee Engagement**: Employee tenure can indicate employee satisfaction levels and the effectiveness of organizational culture. **Track Organizational Stability**: A higher average tenure generally suggests greater stability, contributing to smoother operations and experienced teams.
Objective Measured	**Employee Engagement**: A higher tenure often correlates with higher engagement and satisfaction, showing that employees are invested in the company long-term. **Workforce Stability**: Longer employee tenure contributes to organizational stability, reducing the costs of turnover and increasing team cohesion and productivity.

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Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually / Quarterly

Name	Number of Employees Leaving with Service Time Between 1 to 2 Years
Definition	This KPI measures the number of employees who leave the company after working between 1 and 2 years. Tracking turnover within this time frame is crucial, as it often reflects issues with job satisfaction, organizational fit, or career growth opportunities early in an employee's tenure. A high turnover rate in this category can signal problems in the onboarding process, job expectations, or training and development.

Calculation Formula	Number of Employees Leaving with Service Time Between 1 to 2 Years = Count of Employees Who Leave After 1 to 2 Years
Where:	**Count of Employees Who Leave After 1 to 2 Years**: The total number of employees who have worked for the company for a period between 1 and 2 years and have voluntarily or involuntarily left.
Trend is good when	✅ **Lower is better**: A lower number indicates that the company is retaining employees beyond the first 1-2 years, suggesting good engagement and fit during early employment. ⚠️ **Stable**: A stable trend suggests that turnover in this period is manageable, and the organization is not facing significant retention issues in the first 1-2 years. 🔺 **Higher is bad**: A higher number may indicate issues in onboarding, role fit, or employee engagement early in their tenure, which can be costly for recruitment and training.

Purpose	**Monitor Early Turnover**: Track why employees are leaving within the first 1-2 years and identify whether it's due to job fit, onboarding issues, or lack of growth opportunities. **Identify Retention Challenges**: High turnover in this period can highlight systemic issues in the hiring process, the role itself, or employee satisfaction. **Improve Onboarding and Retention Strategies**: Provides insight into the effectiveness of early-stage employee engagement and retention practices.
Objective Measured	**Onboarding Effectiveness**: Measures how well the company is integrating new hires, ensuring they feel supported, engaged, and fit within the company culture. **Employee Engagement**: Early departures could indicate a lack of engagement, which is critical to address to improve overall retention.

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Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually / Quarterly

Name	Number of Employees Leaving with Service Time Between 10 to 20 Years
Definition	This KPI tracks the number of employees who leave the organization after serving between 10 to 20 years. Employees in this category often have a wealth of knowledge and experience, so their departure can significantly impact the company. A higher number of exits in this range could indicate retirement, burnout, dissatisfaction with leadership, or the lack of clear career progression opportunities.

Calculation Formula	Number of Employees Leaving with Service Time Between 10 to 20 Years = Count of Employees Who Leave After 10 to 20 Years
Trend is good when	✅ **Lower is better**: A lower number suggests that long-term employees are staying, indicating satisfaction with their roles, long-term career growth, and company culture. ⚠️ **Stable**: A stable number reflects steady retention among long-term employees, suggesting good organizational health and effective career development. 🔺 **Higher is bad**: A higher number could indicate that the company is losing experienced employees, potentially due to poor leadership, lack of career advancement, or retirement.

Purpose	**Evaluate Long-Term Employee Retention**: Understand the company's ability to retain experienced employees, who are key to maintaining continuity and organizational knowledge. **Identify Retention Challenges in Senior Employees**: Helps pinpoint issues related to career development, leadership, or work satisfaction that may lead long-term employees to leave.
Objective Measured	**Employee Engagement**: Ensures long-term employees are engaged and satisfied, reducing turnover in experienced, knowledgeable staff. **Career Development**: Measures the effectiveness of career advancement and internal growth opportunities for long-term employees.

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Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually / Quarterly

Name	Number of Employees Leaving with Service Time Between 2 to 5 Years
Definition	This KPI tracks the number of employees who leave after serving between 2 to 5 years. Employees in this period may have gained a fair amount of experience but may also be at a point where they start considering other career opportunities. This data can help HR assess whether employees are leaving due to a lack of career development, job dissatisfaction, or other organizational factors.

Calculation Formula	Number of Employees Leaving with Service Time Between 2 to 5 Years = Count of Employees Who Leave After 2 to 5 Years
Trend is good when	✅ **Lower is better**: A lower number indicates that employees are satisfied and remain with the company for longer periods, suggesting effective career development strategies. ⚠️ **Stable**: A stable trend suggests that turnover is manageable, with no alarming increase in departures within this timeframe. 🔺 **Higher is bad**: A higher number of employees leaving after 2 to 5 years may indicate dissatisfaction with career progression or job expectations, signaling a need for retention interventions.

Purpose	**Assess Mid-Term Retention**: Identify trends in employee retention during the 2 to 5-year range, which may indicate issues with career development, job satisfaction, or leadership. **Optimize Employee Development**: Helps HR improve the career development and engagement strategies to retain employees beyond the 2 to 5-year mark.
Objective Measured	**Employee Engagement and Satisfaction**: Measures the level of employee satisfaction and engagement that contributes to retention during the critical 2 to 5 years of employment. **Career Advancement**: Identifies if employees feel they have opportunities for growth and advancement, which impacts their decision to stay or leave.

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Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually / Quarterly

Name	Number of Employees Leaving with Service Time Between 5 to 10 Years
Definition	This KPI tracks the number of employees who leave the organization after serving between 5 to 10 years. Employees in this category may have reached a point where they are considering new career opportunities or facing stagnation in their current roles. High turnover in this range might indicate issues with career development, lack of advancement opportunities, or dissatisfaction with job responsibilities.

Calculation Formula	Number of Employees Leaving with Service Time Between 5 to 10 Years = Count of Employees Who Leave After 5 to 10 Years
Trend is good when	✅ **Lower is better**: A lower number of employees leaving in this category suggests good retention practices, career development opportunities, and employee satisfaction. ⚠️ **Stable**: A stable trend indicates that turnover is manageable in this critical phase, where employees often decide to either stay or leave. 🔺 **Higher is bad**: A higher number may indicate dissatisfaction with career progression, leadership, or work conditions, which could lead to higher turnover.

Purpose	**Track Mid-Stage Retention**: Understand trends in employee retention between 5 to 10 years of service, which can provide insights into career development, leadership effectiveness, and employee engagement. **Improve Employee Engagement**: If turnover in this period is high, it signals a need for improved career development and engagement strategies to retain talent in their prime years.
Objective Measured	**Employee Engagement and Development**: Measures whether employees feel they have the opportunity to develop and grow within the company during the 5 to 10 years of service. **Retention Strategy Effectiveness**: Helps identify how well the company is retaining employees in the mid-to-late stages of their careers

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Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually

Name	Involuntary Terminations Annually as a % of Average Headcount
Definition	This KPI measures the percentage of involuntary terminations (e.g., dismissals, layoffs, terminations for cause) relative to the average headcount for the year. It helps assess how often employees are involuntarily leaving the company and can indicate potential issues with management practices, performance, or organizational stability. A higher percentage suggests frequent involuntary separations, which may point to problems that need addressing, while a lower percentage indicates better employee retention and management.

Calculation Formula	**Involuntary Terminations % = (Number of Involuntary Terminations / Average Headcount) × 100**
Where:	**Number of Involuntary Terminations**: The total number of employees who were terminated involuntarily during the year. **Average Headcount**: The average number of employees during the year, typically calculated as (Starting headcount + Ending headcount) / 2.
Trend is good when	✅ **Lower is better**: A lower percentage indicates better employee retention, fewer dismissals, and a stable organizational environment. ⚠️ **Stable**: A stable trend suggests that involuntary terminations are consistent with expectations and not increasing over time. 🔺 **Higher is bad**: A higher percentage may signal issues with management practices, employee performance, or organizational culture that need to be addressed.

Purpose	**Monitor Organizational Stability**: Track the rate of involuntary separations to assess how well the company is managing employees. **Identify Management or Performance Issues**: A high rate of involuntary terminations could highlight issues with performance management or employee dissatisfaction. **Control Legal or Financial Risks**: By monitoring this KPI, HR can minimize the financial and legal risks associated with involuntary separations.
Objective Measured	**Retention & Employee Satisfaction**: A lower involuntary termination rate often correlates with higher employee satisfaction and engagement. **Organizational Health**: Measures the overall health of the company's workforce, with fewer involuntary separations indicating stronger organizational culture and stability.

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Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually

Name	Total Terminations Annually as a % of Average Headcount
Definition	This KPI measures the total number of employee terminations (both voluntary and involuntary) as a percentage of the average headcount for the year. It provides a broad view of overall employee turnover and can help HR assess the stability of the workforce. A high percentage indicates a high level of turnover, which can be costly and disruptive, while a lower percentage suggests effective retention strategies and employee satisfaction.

Calculation Formula	Total Terminations % = (Total Number of Terminations / Average Headcount) × 100
Where:	**Total Number of Terminations**: The total number of employees who left the company during the year, both voluntary and involuntary. **Average Headcount**: The average number of employees during the year, calculated as (Starting headcount + Ending headcount) / 2.
Trend is good when	✅ **Lower is better**: A lower percentage indicates fewer employees are leaving, suggesting stronger retention strategies and employee engagement. ⚠️ **Stable**: A stable trend shows that turnover is being maintained at a manageable level. 🔺 **Higher is bad**: A higher percentage may suggest higher turnover, indicating dissatisfaction or issues with the company's work environment, culture, or compensation.

Purpose	**Measure Employee Retention**: Evaluate the effectiveness of retention strategies and the overall stability of the workforce. **Control Recruitment and Training Costs**: High turnover leads to high recruitment and training costs, so this KPI helps manage those expenses. **Identify Underlying Issues**: High turnover can signal underlying issues that need to be addressed, such as poor work culture, management practices, or compensation structures.
Objective Measured	**Workforce Stability**: Ensures that turnover is at an acceptable level, promoting stability within the organization. **Cost Management**: Helps manage the costs of employee recruitment and training due to high turnover.

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Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually

Name	Voluntary Terminations Annually as a % of Average Headcount
Definition	This KPI measures the percentage of voluntary terminations (e.g., resignations, retirements) relative to the average headcount for the year. High voluntary turnover may suggest dissatisfaction, lack of career growth, or better opportunities outside the organization. A lower percentage indicates that employees are satisfied and engaged, with fewer choosing to leave the organization voluntarily.

Calculation Formula	**Voluntary Terminations % = (Number of Voluntary Terminations / Average Headcount) × 100**
Where:	**Number of Voluntary Terminations**: The total number of employees who left the company voluntarily during the year. **Average Headcount**: The average number of employees during the year, calculated as (Starting headcount + Ending headcount) / 2.
Trend is good when	✅ **Lower is better**: A lower percentage indicates better employee engagement and satisfaction, with fewer employees choosing to leave voluntarily. ⚠️ **Stable**: A stable trend shows consistent voluntary turnover, suggesting that the company is managing employee retention well. 🔺 **Higher is bad**: A higher percentage could indicate issues with job satisfaction, compensation, or career development, requiring HR intervention.

Purpose	**Evaluate Employee Engagement**: Measure how engaged and satisfied employees are, as voluntary resignations are often linked to dissatisfaction. **Identify Retention Issues**: High voluntary turnover can highlight dissatisfaction with work conditions, compensation, or career growth. **Monitor Competitive Landscape**: In industries with high competition for talent, voluntary terminations may reflect better external job offers.
Objective Measured	**Employee Satisfaction**: A low voluntary termination rate suggests that employees are satisfied with their roles and the company. **Retention Strategies**: Measures the effectiveness of retention strategies in preventing voluntary resignations.

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Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually

Name	Decrease in Staff Turnover (Dismissals, Resignations)
Definition	This KPI measures the reduction in employee turnover due to dismissals and resignations. A decrease in turnover indicates improvements in retention strategies, employee engagement, and job satisfaction. It reflects a positive shift in workforce stability and satisfaction, with fewer employees leaving voluntarily or involuntarily.

Calculation Formula	**Decrease in Staff Turnover = (Previous Year's Turnover % - Current Year's Turnover %) × 100**
Where:	**Previous Year's Turnover %**: The turnover percentage from the prior year. **Current Year's Turnover %**: The turnover percentage for the current year.
Trend is good when	✅ **Higher is better**: A higher decrease indicates successful retention initiatives and fewer terminations or resignations. ⚠️ **Stable**: A stable decrease suggests that turnover is being effectively managed. 🔺 **Lower is bad**: A smaller or negative decrease indicates that retention efforts are not yielding positive results.

Purpose	**Measure the Effectiveness of Retention Strategies**: Determine if efforts to reduce turnover are having an impact. **Track Employee Satisfaction**: High turnover reduction often correlates with improved employee satisfaction and engagement. **Improve Workforce Stability**: Helps HR track whether the company's work environment is becoming more stable and satisfying for employees.
Objective Measured	**Retention Success**: Indicates whether the company's retention efforts are effectively reducing turnover. **Employee Engagement**: A decrease in turnover reflects higher engagement and satisfaction levels among employees.

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Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually

Name	Early Retirements
Definition	This KPI tracks the number of employees who retire earlier than expected, typically before the usual retirement age. Early retirements can have a significant impact on workforce planning and may reflect changes in personal circumstances, dissatisfaction, or financial incentives offered by the company. It's important to track this to understand whether early retirements are due to external factors or internal organizational issues.

Calculation Formula	**Early Retirements = Count of Employees Who Retire Before Expected Retirement Age**
Where:	**Count of Employees Who Retire Before Expected Retirement Age**: The total number of employees who retire earlier than the company's expected retirement age, either voluntarily or due to incentives.
Trend is good when	✅ **Lower is better**: A lower number indicates that fewer employees are retiring early, suggesting that the company's workplace environment and compensation packages are supportive. ⚠️ **Stable**: A stable trend reflects that early retirements are not significantly affecting the organization's workforce. 🔺 **Higher is bad**: A higher number of early retirements could signal issues with employee engagement, satisfaction, or other external factors such as financial incentives encouraging employees to retire earlier.

Purpose	**Understand Workforce Dynamics**: Track whether employees are retiring earlier than expected and identify potential causes, whether personal, financial, or related to the workplace. **Plan for Succession**: High numbers of early retirements may indicate the need for stronger succession planning or measures to retain experienced workers. **Improve Retention Strategies**: Early retirements might highlight areas for improvement in employee satisfaction or long-term career satisfaction.
Objective Measured	**Workforce Continuity**: Ensures the company has a stable workforce by minimizing early retirements. **Succession Planning**: Helps HR identify if early retirements are creating gaps in expertise and whether succession planning is required to mitigate potential disruptions.

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Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually

Name	Employees Leaving Less Than 10 Years
Definition	This KPI measures the number of employees who leave the company after working for less than 10 years. It is used to assess the level of turnover within the first 10 years of employment, which can highlight early career dissatisfaction or issues with retention strategies. A high turnover rate in this category could suggest problems with job satisfaction, career growth, or company culture.

Calculation Formula	Employees Leaving Less Than 10 Years = Count of Employees Who Leave After Less Than 10 Years of Service
Where:	**Count of Employees Who Leave After Less Than 10 Years of Service**: The total number of employees who leave the organization after working less than 10 years.
Trend is good when	✅ **Lower is better**: A lower number suggests better retention of employees in the first 10 years, indicating job satisfaction and effective career development. ⚠️ **Stable**: A stable number reflects steady turnover, which may be expected for normal organizational movement. 🔺 **Higher is bad**: A higher number indicates that employees are leaving early, which may suggest dissatisfaction or lack of engagement in the first 10 years.

Purpose	**Identify Retention Issues Early**: Understand if employees are leaving in the first 10 years due to dissatisfaction, poor onboarding, or lack of growth opportunities. **Evaluate Employee Engagement**: Measure employee engagement during the early to mid-years of their career. **Control Recruitment Costs**: High turnover within this period suggests inefficiencies in recruitment or training efforts.
Objective Measured	**Employee Satisfaction and Engagement**: Reflects the level of satisfaction employees have with their roles early in their careers. **Retention and Growth Opportunities**: Measures whether employees feel there are growth opportunities within the company.

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Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually / Quarterly

Name	Employees Leaving Less Than 1 Year
Definition	This KPI measures the number of employees who leave the company within the first year of employment. It helps HR assess the effectiveness of the recruitment and onboarding processes, as high turnover within the first year can indicate issues with the job role, organizational fit, or recruitment process.

Calculation Formula	Employees Leaving Less Than 1 Year = Count of Employees Who Leave Within 1 Year of Service
Where:	**Count of Employees Who Leave Within 1 Year of Service**: The total number of employees who leave the organization within the first year of employment.
Trend is good when	✅ **Lower is better**: A lower number indicates effective onboarding and strong job-fit alignment, reducing early-stage turnover. ⚠️ **Stable**: A stable number suggests that the organization is successfully integrating employees and managing expectations. 🔺 **Higher is bad**: A high number suggests problems with job expectations, onboarding, or cultural fit, requiring HR to address early-stage retention strategies.

Purpose	**Evaluate Onboarding and Integration**: Identify if employees are leaving early due to ineffective onboarding, poor job role alignment, or miscommunication during recruitment. **Improve Recruitment Processes**: Understand if recruitment efforts are placing employees in roles that match their skills and expectations. **Track Early Employee Disengagement**: Measure how well the organization integrates new hires and whether there are systemic issues causing early departures.
Objective Measured	**Onboarding Effectiveness**: Determines whether the onboarding process is adequately setting employees up for success. **Employee Engagement**: Indicates whether employees are feeling engaged and aligned with the company early in their tenure.

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Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Quarterly / Annually

Name	Employees That Leave the Organization in a Given Time Period
Definition	This KPI tracks the number of employees who leave the organization over a specific time period (e.g., monthly, quarterly, or annually). It is a broad measure of employee turnover, and understanding this metric can help HR assess the overall effectiveness of retention strategies and identify potential issues that contribute to workforce instability.

Calculation Formula	Employees Leaving in Time Period = Count of Employees Who Left in the Given Time Period
Where:	**Count of Employees Who Left**: The total number of employees who left the organization during the specified time period, either voluntarily or involuntarily.
Trend is good when	✅ **Lower is better**: A lower number indicates that the company is retaining employees effectively and minimizing turnover. ⚠️ **Stable**: A stable trend suggests that turnover is predictable and manageable. 🔺 **Higher is bad**: A higher number indicates high turnover, suggesting potential problems with retention, engagement, or the work environment.

Purpose	**Measure Overall Turnover**: Provides an overview of how many employees are leaving, helping HR understand workforce stability. **Identify Retention Issues**: High turnover could highlight issues such as job dissatisfaction, poor management, or lack of career development opportunities. **Control Costs**: High turnover leads to increased recruitment and training costs, so managing this KPI is essential for minimizing these expenses.
Objective Measured	**Workforce Stability**: Tracks the stability of the workforce and helps HR monitor turnover trends. **Engagement and Retention**: Measures the effectiveness of retention strategies and how well employees are engaged in the organization.

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Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually / Quarterly

Name	Employees Who Leave During the First Year
Definition	This KPI tracks the number of employees who leave the organization within their first year of employment. It is a crucial indicator for evaluating the effectiveness of the recruitment and onboarding processes. High turnover in the first year may signal that employees are not adjusting well to their roles, which could result from misaligned expectations, poor fit, or lack of support.

Calculation Formula	**Employees Who Leave During the First Year = Count of Employees Who Leave Within the First Year**
Where:	**Count of Employees Who Leave Within the First Year**: The total number of employees who leave the company within one year of joining, either voluntarily or involuntarily.
Trend is good when	✅ **Lower is better**: A lower number suggests that the company is successfully onboarding and integrating new hires, reducing early-stage turnover. ⚠️ **Stable**: A stable trend indicates that the company is effectively retaining new hires. 🔺 **Higher is bad**: A higher number indicates that employees are leaving too soon, which may require improvements in the hiring process, job expectations, or onboarding.

Purpose	**Assess the Effectiveness of Onboarding**: Track how well new hires are being integrated into the company and whether their early experience aligns with expectations. **Identify Early Employee Disengagement**: High early turnover indicates that employees may be disengaged or dissatisfied, requiring HR to investigate and improve the onboarding process.
Objective Measured	**Onboarding Success**: Measures how effectively new employees are being integrated into their roles and the organization. **Employee Engagement**: Indicates whether employees are feeling engaged and aligned with the company's values and goals early in their careers.

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Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually / Quarterly

Name	Staff Turnover (Fluctuation)
Definition	This KPI measures the fluctuation of staff turnover within a given period. It calculates how much turnover varies over time and provides insights into whether employee exits are consistent or if there are specific periods of high turnover that need to be addressed. It helps HR understand the trends in turnover and plan better for staffing needs.

Calculation Formula	Staff Turnover Fluctuation = (Highest Turnover Rate - Lowest Turnover Rate) / Average Turnover Rate
Where:	**Highest Turnover Rate**: The period with the highest employee turnover during the reporting period. **Lowest Turnover Rate**: The period with the lowest employee turnover during the reporting period. **Average Turnover Rate**: The average employee turnover rate across the reporting period.
Trend is good when	✅ **Lower is better**: A lower fluctuation indicates stable turnover rates, suggesting predictable staffing needs. ⚠️ **Stable**: A stable trend indicates that turnover is relatively consistent, and HR can plan staffing accordingly. 🔺 **Higher is bad**: A high fluctuation suggests that turnover is volatile, making it harder for HR to manage staffing levels and predict the workforce needs.

Purpose	**Track Turnover Stability**: Assess how consistently turnover occurs over time and identify patterns in the workforce. **Plan Workforce Needs**: Helps HR plan for staffing changes, understanding when turnover spikes and how to manage it effectively. **Monitor Retention Programs**: A large fluctuation may signal issues in retention programs, requiring HR to investigate causes and implement corrective measures.
Objective Measured	**Workforce Stability**: Measures the stability of the workforce and how consistently turnover occurs, helping HR plan better. **Retention Effectiveness**: Evaluates how well the company is retaining employees over time and identifies periods of higher turnover that may require attention.

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Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually

Name	Total Workforce Terminating
Definition	This KPI tracks the total number of employees who terminate their employment within a specific period (e.g., annually). This includes both voluntary and involuntary terminations and helps HR measure the overall level of turnover in the company. High turnover levels can indicate issues with employee satisfaction, management, or the work environment.

Calculation Formula	**Total Workforce Terminating = Count of Employees Who Left the Organization (Voluntary + Involuntary)**
Where:	**Count of Employees Who Left the Organization**: The total number of employees who left during the period, regardless of the reason (voluntary or involuntary).
Trend is good when	✅ **Lower is better**: A lower number suggests better employee retention, indicating that the organization is effectively engaging and retaining employees. ⚠️ **Stable**: A stable trend shows that turnover is consistent with historical levels, which is manageable for HR. 🔺 **Higher is bad**: A higher number indicates that the company is losing employees at a higher rate, which could be costly and disruptive.

Purpose	**Monitor Turnover Levels**: Assess the overall health of the workforce and track how many employees are leaving. **Evaluate Retention Strategies**: A high number may indicate that retention strategies need to be revised to address underlying issues. **Plan for Workforce Needs**: Helps HR prepare for the necessary recruitment and onboarding efforts to replace employees who have left.
Objective Measured	**Retention Success**: Measures the effectiveness of retention programs and employee satisfaction. **Organizational Stability**: Helps HR understand the stability of the workforce and potential risks due to high turnover.

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Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually

Name	Personnel Turnover
Definition	This KPI measures the rate at which employees leave the organization, specifically focusing on all categories of personnel (e.g., hourly, salaried, full-time, part-time). It helps HR track the total turnover rate and identify whether the company's turnover is above or below industry standards. High personnel turnover may suggest challenges in recruitment, employee engagement, or satisfaction.

Calculation Formula	**Personnel Turnover % = (Number of Employees Who Left / Average Number of Employees) × 100**
Where:	**Number of Employees Who Left**: The total number of employees who left the company during the period. **Average Number of Employees**: The average number of employees in the company over the same period, typically calculated as (Starting Headcount + Ending Headcount) / 2.
Trend is good when	✅ **Lower is better**: A lower percentage indicates that the company has successfully retained its employees, reducing turnover costs. ⚠️ **Stable**: A stable trend reflects predictable turnover, making it easier for HR to plan staffing and recruitment efforts. 🔺 **Higher is bad**: A higher percentage indicates high turnover, which can lead to additional recruitment costs, loss of experience, and disruptions in operations.

Purpose	**Assess Employee Retention**: Track whether the company is able to retain its workforce effectively. **Monitor Workforce Stability**: Identify patterns in employee departures and determine if the company's workforce is stable or fluctuating. **Reduce Turnover Costs**: Helps HR manage recruitment and training costs by reducing unnecessary turnover.
Objective Measured	**Workforce Retention**: Measures the ability to retain employees over time. **Operational Stability**: A lower turnover rate helps maintain consistent operations and workforce continuity.

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Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually

Name	Reduction in Turnover
Definition	This KPI tracks the percentage decrease in employee turnover over a given period compared to a previous period. It is a measure of how successful the company has been in reducing its turnover rate. A higher reduction in turnover suggests that the company has effectively implemented retention strategies and improved employee satisfaction.

Calculation Formula	**Reduction in Turnover = ((Previous Turnover % - Current Turnover %) / Previous Turnover %) × 100**
Where:	**Previous Turnover %**: The turnover percentage from the previous period. **Current Turnover %**: The turnover percentage for the current period.
Trend is good when	✅ **Higher is better**: A higher percentage indicates that the company has successfully reduced turnover, likely through better retention strategies, improved engagement, or better job fit. ⚠️ **Stable**: A stable reduction shows that turnover is under control and that retention initiatives are consistently effective. 🔺 **Lower is bad**: A lower or negative percentage suggests that turnover is not being reduced as expected, requiring HR to reassess retention strategies.

Purpose	**Measure Retention Strategy Effectiveness**: Track how well the company is succeeding in reducing turnover through employee engagement, retention programs, and other strategies. **Improve Workforce Stability**: Helps HR understand if their efforts to retain talent are yielding positive results. **Identify Retention Challenges**: A lack of reduction in turnover suggests that the company needs to address employee dissatisfaction or other factors contributing to high turnover.
Objective Measured	**Employee Retention**: Measures how well the company is holding on to its employees. **Engagement and Satisfaction**: Reduction in turnover is often linked to improved employee engagement and satisfaction.

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Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually

Name	Turnover in Administrative Staff
Definition	This KPI measures the turnover rate specifically within administrative staff. Administrative roles are often critical for the smooth operation of an organization, so monitoring turnover in this area can help HR identify if there are any specific issues or trends that need to be addressed within the administrative functions.

Calculation Formula	**Turnover in Administrative Staff % = (Number of Administrative Employees Who Left / Average Number of Administrative Employees) × 100**
Where:	**Number of Administrative Employees Who Left**: The total number of administrative employees who left the company during the period. **Average Number of Administrative Employees**: The average number of administrative employees during the period, calculated as (Starting Administrative Headcount + Ending Administrative Headcount) / 2.
Trend is good when	✅ **Lower is better**: A lower turnover rate indicates that the company is effectively retaining administrative staff, which is crucial for maintaining operational efficiency. ⚠️ **Stable**: A stable turnover rate reflects manageable retention within the administrative staff, helping to ensure business continuity. 🔺 **Higher is bad**: A higher turnover rate may indicate dissatisfaction, poor job fit, or management issues in administrative roles, which can disrupt day-to-day operations.

Purpose	**Track Retention of Key Support Roles**: Measure how well the company is retaining its administrative support staff, who play vital roles in business operations. **Improve Engagement in Support Roles**: High turnover in administrative staff can signal issues with job satisfaction or working conditions that need to be addressed. **Reduce Recruitment and Training Costs**: By managing turnover in these roles, HR can reduce costs associated with hiring and training new employees.
Objective Measured	**Retention of Administrative Employees**: Helps measure how successfully the organization is retaining its critical support roles. **Organizational Efficiency**: Reducing turnover in administrative roles helps maintain operational efficiency and stability.

Performance.
BY TAREK

Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually

Name	Turnover in Technical Staff
Definition	This KPI tracks the turnover rate within technical staff roles, such as engineers, developers, IT specialists, and other technical professionals. High turnover in this category can indicate problems with the technical work environment, compensation, or opportunities for career advancement. Given the high demand for skilled technical professionals, this KPI is critical for understanding and addressing turnover in specialized positions.

Calculation Formula	**Turnover in Technical Staff % = (Number of Technical Employees Who Left / Average Number of Technical Employees) × 100**
Where:	**Number of Technical Employees Who Left**: The total number of technical employees who left the company during the period. **Average Number of Technical Employees**: The average number of technical employees during the period, calculated as (Starting Technical Headcount + Ending Technical Headcount) / 2. **Trend is good when**
Trend is good when	✅ **Lower is better**: A lower turnover rate indicates effective retention of technical staff, ensuring that specialized roles are filled and talent is kept within the organization. ⚠️ **Stable**: A stable turnover rate suggests that technical staff retention is consistent and manageable. 🔺 **Higher is bad**: A higher turnover rate in technical staff may indicate dissatisfaction with the work environment, compensation, or career opportunities, which can be costly for the company.

Purpose	**Evaluate Retention of Technical Talent**: Track how well the company is retaining its technical professionals, who are often in high demand and critical for innovation. **Identify Retention Issues in Specialized Roles**: High turnover in technical roles may indicate issues with career growth, work-life balance, or salary expectations that need to be addressed. **Manage Talent Acquisition and Development**: Helps HR understand the causes of turnover in technical positions and develop strategies to retain talent in specialized fields.
Objective Measured	**Retention of Skilled Professionals**: Measures the ability of the company to retain technical talent, which is often harder to replace. **Workforce Stability in Key Roles**: Ensures that critical technical roles remain filled, supporting innovation and operational success.

Performance.
BY TAREK

Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually

Name	Average Age of Employees That Retire
Definition	This KPI measures the average age at which employees retire from the organization. It provides insights into the demographics of the workforce and helps HR plan for succession and workforce changes. A higher average retirement age can indicate that employees are staying longer, which may suggest good job satisfaction or financial stability within the company. Conversely, a lower average age of retirement might point to early retirements, which could indicate dissatisfaction or external factors affecting employee longevity.

Calculation Formula	**Average Age of Employees That Retire = Sum of Ages of Retired Employees / Total Number of Retired Employees**
Where:	**Sum of Ages of Retired Employees**: The sum of the ages of all employees who have retired within the given period. **Total Number of Retired Employees**: The total number of employees who retired during the specified period.
Trend is good when	✅ **Higher is better**: A higher average age suggests that employees are staying longer in the workforce, indicating strong employee engagement, satisfaction, and effective retirement planning. ⚠️ **Stable**: A stable average age reflects consistent retirement patterns, which can help HR plan for workforce transitions. 🔺 **Lower is bad**: A lower average retirement age may indicate early retirements that could be linked to dissatisfaction or issues within the company.

Purpose	**Understand Workforce Aging**: Helps HR understand when employees are likely to retire and plan for succession and knowledge transfer. **Plan for Succession**: By tracking retirement trends, HR can better prepare for future vacancies in key positions. **Evaluate Retention Strategies**: A low average age of retirement may indicate that more employees are leaving earlier than expected, suggesting a need to assess employee satisfaction.
Objective Measured	**Workforce Planning**: Provides HR with data to plan for workforce changes, especially in senior or specialized roles. **Employee Engagement and Satisfaction**: The average age of retirement can reflect employee satisfaction and career longevity.

Performance.
BY TAREK

Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually

Name	Average Tenure per Employee
Definition	This KPI measures the average length of time that employees stay with the organization. It is an important indicator of employee engagement, satisfaction, and the effectiveness of retention strategies. A higher average tenure generally indicates good job satisfaction and stable employment relationships, while a lower average tenure might suggest dissatisfaction or a high level of turnover.

Calculation Formula	**Average Tenure per Employee = Total Years of Service of All Employees / Total Number of Employees**
Where:	**Total Years of Service of All Employees**: The total number of years worked by all employees in the company. **Total Number of Employees**: The total number of employees who are considered in this calculation.
Trend is good when	✅ **Higher is better**: A higher average tenure indicates that employees are staying with the company for longer, which suggests effective engagement and retention practices. ⚠️ **Stable**: A stable average tenure indicates that retention efforts are consistent and predictable. 🔺 **Lower is bad**: A lower average tenure suggests high turnover, which could reflect dissatisfaction, lack of career progression, or a poor work environment.

Purpose	**Measure Employee Retention**: Understand how long employees typically stay with the company and assess the effectiveness of retention strategies. **Identify Engagement Issues**: A lower tenure could signal problems with employee engagement, job satisfaction, or company culture. **Plan for Workforce Transitions**: Helps HR prepare for future staffing needs by understanding how long employees tend to remain with the company.
Objective Measured	**Retention and Engagement**: Measures how well the company retains employees over time. **Organizational Stability**: Provides insight into the overall stability of the workforce and helps HR anticipate potential turnover issues.

Performance.
BY TAREK

Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually / Quarterly

Name	Employee Attrition
Definition	This KPI measures the rate at which employees leave the organization over a specified period. Employee attrition is typically voluntary and reflects a reduction in the workforce. Attrition can result from resignations, retirements, or other voluntary separations. A high attrition rate can indicate issues with job satisfaction, compensation, career growth, or the overall work environment.

Calculation Formula	**Employee Attrition % = (Number of Employees Who Left / Average Headcount) × 100**
Where:	**Number of Employees Who Left**: The total number of employees who left the company during the period. **Average Headcount**: The average number of employees in the company over the period, typically calculated as (Starting Headcount + Ending Headcount) / 2.
Trend is good when	✅ **Lower is better**: A lower attrition rate indicates that the company is retaining employees and reducing the number of voluntary separations. ⚠️ **Stable**: A stable rate shows that the company is maintaining predictable levels of attrition. 🔺 **Higher is bad**: A higher attrition rate could signal dissatisfaction, lack of career advancement, or other issues that need to be addressed.

Purpose	**Monitor Retention**: Track the level of voluntary separations and ensure that they are within acceptable levels. **Identify Causes of Attrition**: High attrition rates can indicate dissatisfaction or dissatisfaction with the work environment. **Improve Engagement**: Helps HR identify areas for improvement to keep employees engaged and reduce voluntary separations.
Objective Measured	**Employee Retention**: Measures the effectiveness of retention strategies. **Employee Satisfaction**: High attrition often correlates with low employee satisfaction, making this an important metric for engagement.

Performance.
BY TAREK

Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually

Name	Employee Retention
Definition	This KPI measures the percentage of employees who stay with the company over a given period. A high retention rate indicates that employees are satisfied with their roles and the company, whereas a low retention rate may signal dissatisfaction, lack of opportunities, or poor management. This is a key metric for assessing the effectiveness of employee engagement, compensation, and career development programs.

Calculation Formula	**Employee Retention % = (Number of Employees Who Stayed / Average Headcount) × 100**
Where:	**Number of Employees Who Stayed**: The total number of employees who remained with the company during the period. **Average Headcount**: The average number of employees during the period, calculated as (Starting Headcount + Ending Headcount) / 2.
Trend is good when	✅ **Higher is better**: A higher retention rate suggests that employees are satisfied, engaged, and committed to the company. ⚠️ **Stable**: A stable retention rate indicates that the company is effectively managing employee satisfaction and engagement. 🔺 **Lower is bad**: A lower retention rate indicates that employees are leaving the company, which may signal dissatisfaction or problems with employee engagement or management.

Purpose	**Track Employee Satisfaction**: Understand how well the company is keeping its employees satisfied and engaged. **Measure HR Effectiveness**: Assess the effectiveness of HR programs aimed at improving retention. **Plan for Workforce Stability**: Help HR prepare for future workforce needs by understanding retention trends.
Objective Measured	**Employee Engagement**: Measures the level of employee engagement and satisfaction. **Retention Strategies**: Indicates the effectiveness of retention strategies in keeping employees.

Performance.
BY TAREK

Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually

Name	Involuntary Termination Rate
Definition	This KPI tracks the rate at which employees are involuntarily terminated from the company, including layoffs, dismissals, and terminations for cause. It provides insight into the company's ability to manage performance, behavior, and other factors leading to involuntary separations. A high involuntary termination rate may signal management or cultural issues, whereas a low rate suggests that the company is effectively managing employee performance and behavior.

Calculation Formula	Total Employee Available Time = Sum of All Employees' Available Hours (excluding time off)
Where:	**Number of Involuntary Terminations**: The total number of employees who were terminated involuntarily during the period. **Average Headcount**: The average number of employees during the period, typically calculated as (Starting Headcount + Ending Headcount) / 2.
Trend is good when	✅ **Lower is better**: A lower involuntary termination rate indicates that the company is effectively managing performance and reducing the need for terminations. ⚠️ **Stable**: A stable rate shows that terminations are being managed consistently without any significant increases. 🔺 **Higher is bad**: A higher rate suggests performance or behavioral issues within the company, requiring management attention to improve retention and organizational culture.

Purpose	**Monitor Organizational Health**: Track how well the company manages involuntary terminations and identify areas for improvement. **Manage Risk**: Reduce the financial and reputational risks associated with high involuntary termination rates. **Improve Performance Management**: Help HR address the root causes of involuntary separations and improve performance management systems.
Objective Measured	**Performance Management Effectiveness**: Measures how well the company manages employee performance to avoid involuntary terminations. **Workplace Culture**: Indicates the health of the company's culture and its impact on employee behavior and performance.

Performance.
BY TAREK

Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually

Name	Job Leaving Ratio Per Department
Definition	This KPI tracks the rate at which employees leave each department, either voluntarily or involuntarily, within a given period. It helps HR assess which departments are experiencing higher turnover rates and identify areas where retention efforts may need to be more focused. A higher job leaving ratio in a particular department may indicate dissatisfaction with management, job roles, or working conditions specific to that department.

Calculation Formula	**Job Leaving Ratio Per Department = (Number of Employees Leaving the Department / Average Number of Employees in the Department) × 100**
Where:	**Number of Employees Leaving the Department**: The total number of employees who left the department within the period. **Average Number of Employees in the Department**: The average number of employees in that department during the same period, calculated as (Starting Headcount + Ending Headcount) / 2.
Trend is good when	✅ **Lower is better**: A lower ratio indicates that the department is retaining its employees, which suggests good management and job satisfaction. ⚠️ **Stable**: A stable ratio indicates consistent retention within the department, suggesting that HR efforts are maintaining workforce stability. 🔺 **Higher is bad**: A higher ratio indicates that the department is experiencing significant turnover, potentially due to poor management or job dissatisfaction.

Purpose	**Assess Departmental Retention**: Track employee turnover in each department to determine if any specific departments are facing higher turnover rates. **Identify Issues**: Help HR identify potential problems within departments such as poor leadership, lack of career advancement, or dissatisfaction with work conditions. **Target Retention Efforts**: Allows HR to focus on the departments with the highest turnover for intervention.
Objective Measured	**Departmental Retention**: Measures how well each department retains its workforce. **Employee Engagement**: Indicates whether employees within a specific department are engaged and satisfied with their roles.

Performance.
BY TAREK

Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually

Name	Job Leaving Ratio Per Year
Definition	This KPI tracks the overall job leaving rate across the organization on an annual basis. It is a broad measure of turnover, accounting for both voluntary and involuntary separations. This ratio helps HR evaluate whether the organization is experiencing higher-than-expected turnover and assess the effectiveness of retention programs over the year.

Calculation Formula	**Job Leaving Ratio Per Year = (Total Number of Employees Who Left / Average Number of Employees in the Year) × 100**
Where:	**Total Number of Employees Who Left**: The total number of employees who left the company during the year. **Average Number of Employees in the Year**: The average number of employees throughout the year, calculated as (Starting Headcount + Ending Headcount) / 2.
Trend is good when	✅ **Lower is better**: A lower ratio indicates that the company is retaining its workforce and is not losing employees at an alarming rate. ⚠️ **Stable**: A stable ratio suggests that turnover is within expected limits, reflecting consistent employee retention. 🔺 **Higher is bad**: A higher ratio may indicate that the company is experiencing excessive turnover, which could signal dissatisfaction, poor management, or other issues.

Purpose	**Measure Turnover Levels**: Track the rate at which employees leave the organization and understand the scope of turnover. **Identify Retention Challenges**: A high turnover rate can highlight retention issues that HR needs to address through improved engagement or retention strategies. **Evaluate the Effectiveness of Retention Programs**: Understand if retention efforts are successful or if more attention is needed to reduce turnover.
Objective Measured	**Workforce Retention**: Measures how well the organization retains employees over the course of the year. **Employee Satisfaction**: High turnover rates often indicate low employee satisfaction, so this helps HR address those issues.

Performance.
BY TAREK

Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually

Name	Personnel Turnover Rate
Definition	This KPI measures the overall turnover rate within the organization, including both voluntary and involuntary separations. It provides a comprehensive look at how often employees leave the company over a specified period. This rate is essential for evaluating the health of the organization's workforce and understanding the effectiveness of retention strategies.

Calculation Formula	**Personnel Turnover Rate % = (Number of Employees Who Left / Average Headcount) × 100**
Where:	**Number of Employees Who Left**: The total number of employees who left the company during the period. **Average Headcount**: The average number of employees during the period, typically calculated as (Starting Headcount + Ending Headcount) / 2.
Trend is good when	✅ **Lower is better**: A lower turnover rate indicates that the company is successfully retaining employees, which is a sign of a healthy organizational culture. ⚠️ **Stable**: A stable rate reflects predictable turnover and suggests effective management of workforce needs. 🔺 **Higher is bad**: A higher turnover rate indicates problems with employee satisfaction, engagement, or organizational fit, which need to be addressed.

Purpose	**Evaluate Employee Retention**: Assess how well the company is retaining its employees over time. **Identify Organizational Issues**: High turnover may signal issues such as poor company culture, inadequate compensation, or lack of career growth. **Optimize Workforce Planning**: Helps HR plan staffing needs and anticipate the costs of high turnover.
Objective Measured	**Workforce Stability**: Measures the stability of the workforce, providing insights into the company's ability to retain employees. **Employee Engagement**: A high turnover rate often correlates with disengagement, so this helps HR address engagement issues.

Performance.
BY TAREK

Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually

Name	Designation Rate by Length of Service
Definition	This KPI tracks the rate at which employees achieve higher designations or promotions based on their length of service within the organization. It helps assess whether employees are being given career advancement opportunities as they stay longer with the company. A high designation rate by length of service may indicate a strong internal promotion culture, whereas a low rate could suggest stagnation in career development.

Calculation Formula	**Designation Rate by Length of Service = (Number of Employees Promoted Based on Service Length / Total Number of Employees with Similar Service Length) × 100**
Where:	**Number of Employees Promoted Based on Service Length**: The total number of employees who received a promotion based on their tenure or length of service. **Total Number of Employees with Similar Service Length**: The total number of employees who have been with the company for a similar length of time.
Trend is good when	✅ **Higher is better**: A higher rate indicates that the organization is effectively promoting employees based on their experience and time with the company, fostering loyalty and growth. ⚠️ **Stable**: A stable rate suggests consistent internal promotions and career development. 🔺 **Lower is bad**: A lower rate may indicate that employees are not being promoted at a reasonable pace, which can lead to dissatisfaction and turnover.

Purpose	**Track Career Advancement**: Ensure that employees are receiving appropriate promotions based on their tenure and experience. **Improve Retention**: Internal promotions can help retain employees, so this KPI helps HR understand if they are providing sufficient career growth opportunities. **Support Employee Engagement**: Promoting employees based on their length of service can improve engagement by showing that hard work and loyalty are rewarded.
Objective Measured	**Internal Career Development**: Measures how well the company promotes employees based on their service and experience. **Employee Satisfaction**: Promoting from within typically increases job satisfaction and reduces turnover.

Performance.
BY TAREK

Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually

Name	Designation Rate with 2 Weeks Notice
Definition	This KPI tracks the rate at which employees leave the company with a notice period of two weeks. It is important for HR to understand if employees are resigning in a controlled manner or if immediate resignations are more common. A higher rate of two weeks' notice suggests that employees are leaving in a professional manner, whereas a lower rate may indicate that employees are leaving abruptly, which could signal dissatisfaction or lack of engagement.

Calculation Formula	**Designation Rate with 2 Weeks Notice = (Number of Employees Who Gave 2 Weeks Notice / Total Number of Employees Who Left) × 100**
Where:	**Number of Employees Who Gave 2 Weeks Notice**: The total number of employees who provided a two-week notice before leaving the company. **Total Number of Employees Who Left**: The total number of employees who left the organization, including both voluntary and involuntary exits.
Trend is good when	✅ **Higher is better**: A higher percentage indicates that employees are leaving professionally, which suggests that they are leaving on good terms and with proper transition planning. ⚠️ **Stable**: A stable rate reflects predictable and manageable employee separations. 🔺 **Lower is bad**: A lower percentage indicates that employees are leaving abruptly, which could disrupt operations and suggest dissatisfaction.

Purpose	**Monitor Resignation Behavior**: Track how employees are leaving the company and whether they are providing appropriate notice. **Ensure Smooth Transitions**: Higher notice periods typically result in smoother transitions and better handover of responsibilities. **Address Employee Disengagement**: A low rate of notice periods could suggest disengagement or dissatisfaction, which HR can address through engagement strategies.
Objective Measured	**Employee Engagement**: A higher rate of notice periods often correlates with higher employee engagement and satisfaction. **Operational Continuity**: Ensures that transitions are smooth and that employees leaving give adequate time for succession planning.

Performance.
BY TAREK

Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually

Name	Turnover of New Hire During 1 Year
Definition	This KPI tracks the percentage of new hires who leave the company within their first year of employment. High turnover in this category can indicate issues with onboarding, job fit, or early job satisfaction. This is a critical KPI for understanding whether new employees are effectively integrated into the company and whether the recruitment process is selecting the right candidates.

Calculation Formula	**Turnover of New Hire During 1 Year = (Number of New Hires Who Left Within 1 Year / Total Number of New Hires in the Year) × 100**
Where:	**Number of New Hires Who Left Within 1 Year**: The total number of employees who were hired within the past year and left within that period. **Total Number of New Hires in the Year**: The total number of employees hired in the same year.
Trend is good when	✅ **Lower is better**: A lower percentage suggests successful onboarding and job fit, with new hires staying longer and integrating well. ⚠️ **Stable**: A stable percentage suggests consistent hiring processes and reasonable turnover in the first year. 🔺 **Higher is bad**: A high percentage may signal problems with the onboarding process, misaligned expectations, or dissatisfaction in the early stages of employment.

Purpose	**Evaluate New Hire Retention**: Measure how well new employees are being retained in their first year, providing insights into the onboarding process and employee fit. **Identify Onboarding Issues**: A high turnover rate may indicate issues with job expectations, training, or the company culture not aligning with the new hire's needs. **Optimize Recruitment**: Helps HR assess whether recruitment practices are bringing in the right candidates and whether the company's environment is conducive to long-term employment.
Objective Measured	**Onboarding Success**: Measures how effectively new hires are integrated into the organization. **Employee Engagement**: Indicates how engaged and satisfied new hires are in their first year.

Performance.
BY TAREK

Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually

Name	Turnover of New Hire During 5 Years
Definition	This KPI tracks the percentage of new hires who leave the company within their first five years of employment. High turnover in this category may suggest long-term issues with career growth, job satisfaction, or alignment between employee expectations and the company's offerings. It helps HR assess the long-term integration and engagement of new hires.

Calculation Formula	**Turnover of New Hire During 5 Years = (Number of New Hires Who Left Within 5 Years / Total Number of New Hires) × 100**
Where:	**Number of New Hires Who Left Within 5 Years**: The total number of new employees who left the company within five years of their hire date. **Total Number of New Hires**: The total number of new hires within the same period.
Trend is good when	✅ **Lower is better**: A lower percentage indicates that the company is successfully engaging new hires long-term, offering career development, and aligning job expectations. ⚠️ **Stable**: A stable percentage suggests that turnover is consistent and manageable over the first five years. 🔺 **Higher is bad**: A higher percentage may indicate dissatisfaction or unmet career growth expectations, pointing to potential issues with long-term employee engagement and development.

Purpose	**Assess Long-Term Retention**: Track how well new employees are retained over the long term and whether they are leaving due to factors such as career growth, compensation, or workplace satisfaction. **Evaluate Career Development Opportunities**: A high turnover rate may indicate a lack of career advancement opportunities, prompting HR to focus on career development initiatives. **Improve Employee Satisfaction**: Helps HR improve policies related to career progression, mentoring, and long-term engagement.
Objective Measured	**Long-Term Employee Retention**: Measures how well the organization retains employees beyond the first few years, reflecting employee satisfaction and engagement. **Career Development**: Assesses whether employees feel they have opportunities for growth and advancement within the company.

Performance.
BY TAREK

Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually

Name	Turnover Rate Due to Poor Performance
Definition	This KPI tracks the percentage of employees who leave the company due to performance-related reasons. This includes terminations for not meeting performance standards, failing to meet job expectations, or not adhering to company policies. A high turnover rate due to poor performance may indicate issues with recruitment, training, or management processes.

Calculation Formula	**Turnover Rate Due to Poor Performance % = (Number of Employees Who Left Due to Poor Performance / Total Number of Employees) × 100**
Where:	**Number of Employees Who Left Due to Poor Performance**: The total number of employees who were terminated due to poor performance. **Total Number of Employees**: The total number of employees in the organization.
Trend is good when	✅ **Lower is better**: A lower rate suggests that the company is successfully managing performance, providing employees with the right resources and training to succeed. ⚠️ **Stable**: A stable turnover rate indicates that performance-related terminations are manageable and not a frequent occurrence. 🔺 **Higher is bad**: A higher rate indicates that there may be underlying performance management issues or that employees are not properly supported to meet performance expectations.

Purpose	**Assess Performance Management Effectiveness**: Measure how well the company is managing employee performance and identifying any performance-related issues early on. **Improve Training and Support**: High turnover due to poor performance can highlight a need for better training, onboarding, and performance support systems. **Minimize Recruitment and Training Costs**: Helps HR reduce the need for constantly replacing employees who fail to meet performance expectations.
Objective Measured	**Performance Management**: Measures the company's ability to manage and support employee performance. **Employee Support and Development**: Indicates whether employees are being adequately supported in meeting their job requirements.

Performance.
BY TAREK

Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually

Name	Turnover Rate for the Year Without Notice
Definition	This KPI measures the percentage of employees who leave the organization without providing the required notice period. This includes employees who resign suddenly or are terminated without any notice. A higher rate of employees leaving without notice can indicate poor employee engagement, dissatisfaction, or lack of commitment.

Calculation Formula	**Turnover Rate Without Notice % = (Number of Employees Who Left Without Notice / Total Number of Employees Who Left) × 100**
Where:	**Number of Employees Who Left Without Notice**: The total number of employees who left without giving the required notice period. **Total Number of Employees Who Left**: The total number of employees who left the organization, both voluntarily and involuntarily.
Trend is good when	✅ **Lower is better**: A lower percentage suggests that employees are more committed to the organization and are adhering to notice period requirements. ⚠️ **Stable**: A stable rate indicates that the number of employees leaving without notice is consistent and manageable. 🔺 **Higher is bad**: A higher percentage may signal disengagement or dissatisfaction with the company, which can disrupt operations and create additional challenges in workforce planning.

Purpose	**Assess Employee Commitment**: Understand the level of employee commitment and whether employees are leaving the company in a professional manner. **Monitor Employee Satisfaction**: High rates of employees leaving without notice often indicate dissatisfaction, which HR should address through engagement initiatives. **Reduce Operational Disruption**: Helps HR identify why employees are leaving suddenly, which can help reduce disruptions caused by unexpected departures.
Objective Measured	**Employee Engagement**: A higher rate often correlates with lower employee engagement, suggesting a need for improved job satisfaction strategies. **Workforce Stability**: Helps measure how committed employees are to the organization and how often unexpected resignations occur.

Performance.
BY TAREK

Functional Areas	Human Resources	KPI Type	Lagging
Sub-Categories	Employee Turnover	Data Capture Period	Annually

Name	Voluntary Turnover
Definition	This KPI tracks the percentage of employees who leave the company voluntarily, such as resignations, retirements, or career changes. Voluntary turnover is an important indicator of employee satisfaction and engagement. A high voluntary turnover rate often reflects dissatisfaction with job roles, compensation, management, or work-life balance.

Calculation Formula	**Voluntary Turnover % = (Number of Voluntary Resignations / Average Headcount) × 100**
Where:	**Number of Voluntary Resignations**: The total number of employees who voluntarily left the company, either through resignation, retirement, or other personal reasons. **Average Headcount**: The average number of employees during the period, typically calculated as (Starting Headcount + Ending Headcount) / 2.
Trend is good when	✅ **Lower is better**: A lower voluntary turnover rate indicates better employee engagement, satisfaction, and organizational health. ⚠️ **Stable**: A stable turnover rate suggests that voluntary separations are within manageable levels. 🔺 **Higher is bad**: A higher rate indicates that employees are leaving voluntarily, which could signal problems with job satisfaction, compensation, or leadership.

Purpose	**Measure Employee Satisfaction**: Voluntary turnover is often an indicator of dissatisfaction, which HR can address through engagement and retention strategies. **Evaluate Retention Strategies**: Helps HR understand whether the organization's retention efforts are effective or need improvement. **Reduce Recruitment and Training Costs**: By reducing voluntary turnover, HR can lower the costs associated with recruiting and training new employees.
Objective Measured	**Employee Engagement**: A lower voluntary turnover rate suggests that employees are satisfied and engaged. **Retention Effectiveness**: Indicates how successful the organization's retention strategies are at keeping employees.